



58 |

Health's own numbers, which touches around 10,000 monthly sessions. Roughly half its users now come from Tier II and Tier III cities, a reminder that demand is no longer confined to metropolitan India.

About 10.6% of Indian adults—roughly 11 out of every 100 adults—were living with a diagnosable mental health disorder, according to a 2015-16 National Mental Health Survey (NMHS) conducted by the National Institute of Mental Health and Neurosciences (NIMHANS).

Industry experts say Gen Z and millennials have been instrumental in reshaping India's mental healthcare landscape. While millennials helped destigmatise conversations around mental well-being, Gen Z has gone a step further by normalising therapy as part of overall wellness rather than a last resort during a crisis. As awareness has translat-

ed into greater willingness to seek professional help, a new generation of mental healthcare start-ups—including YourDOST, Lissun, and MindPeers—has emerged to meet the growing demand.

Among the early entrants was Amaha, founded in 2016, backed by Fireside Ventures and Lightbox. The company has evolved from offering digital self-care tools into an integrated mental healthcare provider, spanning online therapy, psychiatric consultations and a 30-bed psychiatric hospital in Bengaluru.

The industry's evolution has also been supported by policy reforms. The Mental Healthcare Act, 2017, required insurers to provide coverage for mental illness on a par with physical illness. The momentum gathered further when the Insurance Regulatory and Develop-

ment Authority of India (IRDAI) directed all health insurers to fully integrate mental illness coverage into their policies.

Yet, for all the optimism, the industry finds itself at an inflection point. Demand has accelerated faster than the supply of trained professionals.

ECONOMICS OF EMPATHY

Ironically, India's biggest constraint today may not be consumer demand but the industry's ability to serve it. "The category has moved through three distinct phases—awareness, acknowledgement, and now the willingness to pay," says Ankur Khaitan, Partner at Fireside Ventures. "Categories reach an inflection point only when consumers not only recognise the problem but are willing to spend to solve it. Mental healthcare is now entering that phase."

However, every stakeholder interviewed by *Business Today* points to the same structural challenge—a shortage of practice-ready professionals.

Rocket Health employs nearly 90 psychologists and psychiatrists, but Dr. Sinha argues that India's problem is less about the number of psychology graduates than about clinical readiness.

"We receive plenty of applications [for psychologists and psychiatrists]. The challenge is quality. Students graduate with strong theoretical knowledge, but practical training is limited. Building rapport with patients, conducting therapy sessions and handling real-world cases require skills that are developed through practice, not textbooks."

Amaha echoes the concern. Rather than viewing workforce development as a back-office function, the company considers clinician training a strategic investment. As mental healthcare scales,